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Case Number: 25NNCV07985 Hearing Date: July 30, 2026 Dept: P

[TENTATIVE] ORDER SUSTAINING

DEFENDANT'S DEMURRER IN PART AND OVERRULING IN PART

I. INTRODUCTION

Plaintiff

Abraham O. Bautista ("Plaintiff") filed this action against Defendants Selene Finance, L.P. ("Selene") and U.S. Bank Trust National Association ("U.S. Bank") (collectively, "Defendants") arising out of the nonjudicial foreclosure of Plaintiff's residential property. Plaintiff asserts causes of action for: (1) violation of Civil Code section 2923.5; (2) violation of Civil Code section 2923.7; (3) violation of Civil Code section 2924.9; (4) unfair business practices in violation of Business and Professions Code section 17200 et seq.; and (5) wrongful foreclosure.

On November 12, 2025, Plaintiff filed the Complaint. On April 15, 2026, Defendants filed the instant demurrer, no opposition has been filed.

Meet and confer

Pursuant to Code of Civil Procedure section 430.41, subdivision (a), the demurring party is required to meet and confer with the party who filed the pleading at least five days before the responsive pleading is due. This must occur in person, telephone or by video conference with the aim of resolving any objections raised in the demurrer. Additionally, the demurring party must file and serve a declaration detailing the meet and confer efforts. It should be noted, however, that the failure to

meet and confer is not itself grounds for sustaining or overruling a demurrer or granting or denying a motion to strike. (Code Civ. Proc., §§ 430.41, subd. (a)(4), 435.5, subd. (a)(4).)

Defendants' counsel declares the parties met and conferred by telephone regarding the alleged deficiencies in the Complaint but were unable to resolve the issues. (Rnjak Decl., ¶ 4.) The meet and confer requirement is satisfied.

II. LEGAL STANDARD

"[A] demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (See Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994 [in ruling on a demurrer, a court may not consider declarations, matters not subject to judicial notice, or documents not accepted for the truth of their contents].) For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (Aubry v. Tri-City Hosp. Dist. (1992) 2 Cal.4th 962, 967.)

CCP section 430.10(f) provides that a pleading is uncertain if it is ambiguous and unintelligible. (See Code Civ. Proc., § 430.10(f).) "A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures." (Khoury v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 616.) "A demurrer for uncertainty will be sustained only where the complaint is so bad that defendant cannot reasonably respond—i.e., he or she cannot reasonably determine what issues must be admitted or denied, or what counts or claims are directed against him or her." (Weil & Brown, Civil Procedure Before Trial (The Rutter Group) § 7:85 (emphasis in original).) "The objection of uncertainty does not go to the failure to allege sufficient facts." (Brea v. McGlashan (1934) 3 Cal.App.2d 454, 459.) "It goes to the doubt as to what the pleader means by the facts alleged." (Id.) "Such a demurrer should not be sustained where the allegations of the complaint are sufficiently clear to apprise the defendant of the issues which he is to meet." (People v. Lim (1941) 18 Cal.2d 872, 882.)

Leave to amend must be allowed

where there is a reasonable possibility of successful amendment. (See *Goodman v. Kennedy* (1976) 18 Cal.3d 335, 349 [court shall not “sustain a demurrer without leave to amend if there is any reasonable possibility that the defect can be cured by amendment”]; *Kong v. City of Hawaiian Gardens Redevelopment Agency* (2002) 108 Cal.App.4th 1028, 1037 [“A demurrer should not be sustained without leave to amend if the complaint, liberally construed, can state a cause of action under any theory or if there is a reasonable possibility the defect can be cured by amendment.”]; *Vaccaro v. Kaiman* (1998) 63 Cal.App.4th 761, 768 [“When the defect which justifies striking a complaint is capable of cure, the court should allow leave to amend.”].) The burden is on the complainant to show the Court that a pleading can be amended successfully. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

III. ANALYSIS

Defendants

demur to the first through fifth causes of action for failure to state facts sufficient to constitute a cause of action. (Code Civ. Proc., § 430.10, subd. (e).) Defendants also demur to the Complaint for uncertainty. (Code Civ. Proc., § 430.10, subd. (f).)

First Cause of Action: Violation of Civ Code. §2923.5

The Legislature enacted Civil Code

section 2923.5 to give defaulting borrowers a last opportunity to take advantage of “available loss mitigation options, if any, offered by or through the borrower's mortgage servicer, such as loan modifications or other alternatives to foreclosure”, before mortgage servicers take the final step of non-judicial foreclosure. (Civ. Code § 2923.4.) Section 2923.5 specifically requires “[a] mortgage servicer [to] contact the borrower in person or by telephone in order to assess the borrower’s financial situation and explore options for the borrower to avoid foreclosure” before the servicer records a Notice of Default. (Id. § 2923.5, subd. (a)(2).)

Defendants demur to the first cause

of action on the ground Plaintiff fails to allege sufficient facts to constitute a claim under Civil Code section 2923.5. Defendants argue Plaintiff misconstrues the statute by alleging he received no mail or messages when the

Notice of Default was recorded. Defendants contend Civil Code section 2923.5 requires only that a mortgage servicer contact the borrower or satisfy the statutory due diligence requirements before recording the Notice of Default. Defendants further argue that the Declaration of Compliance attached as Exhibit D to the Complaint demonstrates they exercised the requisite due diligence before recording the Notice of Default. (Demurrer, pp. 7-8.)

No opposition has been filed.

The Court finds Plaintiff has alleged sufficient facts to state a claim under Civil Code section 2923.5. Liberally construed, the Complaint alleges Defendants recorded the Notice of Default without first complying with the pre-foreclosure contact requirements of section 2923.5, including that Plaintiff received no communications before the Notice of Default was recorded and that Defendants failed to satisfy the statutory requirements before initiating foreclosure. (Complaint, ¶¶ 17-18.)

Defendants rely on the Declaration of Compliance attached as Exhibit D to the Complaint, which states that the mortgage servicer satisfied the statutory due diligence requirements before recording the Notice of Default. However, Civil Code section 2923.5 permits a servicer to record a Notice of Default without actual contact only if it has exercised the due diligence prescribed by the statute. Whether Defendants in fact satisfied those due diligence requirements presents a factual issue that cannot be resolved on demurrer. At this stage, the Court must accept Plaintiff's factual allegations as true.

Thus, the Court **OVERRULES** the demurrer as to this cause of action.

Second Cause of Action: Violation of Civ Code §2923.7.

Under this portion of the HBOR, "when a borrower requests a foreclosure prevention alternative, the mortgage servicer shall promptly establish a single point of contact and provide to the borrower one or more direct means of communication with the single point of contact." (Civ. Code § 2923.7, subd. (a).) "For purposes of this section, 'single point of contact' means an individual or team of personnel each of whom has the ability and authority to perform the responsibilities described" below. (Id. at subd. (e).)

"The single point of contact shall be responsible for doing all of the following: (1) Communicating the process by which a borrower may apply for an available foreclosure prevention alternative and the deadline for any required submissions to be considered for these options; (2) Coordinating receipt of all documents associated with available foreclosure prevention alternatives and notifying the borrower of any missing documents necessary to complete the application; (3) Having access to current information and personnel sufficient to timely, accurately, and adequately inform the borrower of the current status of the foreclosure prevention alternative; (4) Ensuring that a borrower is considered for all foreclosure prevention alternatives offered by, or through, the mortgage servicer, if any; and (5) Having access to individuals with the ability and authority to stop foreclosure proceedings when necessary." (Id. at subd. (b).)

Here, Defendants demur to the second cause of action, arguing Plaintiff fails to allege facts sufficient to constitute a violation of Civil Code section 2923.7. Specifically, Defendants contend the Complaint does not allege Plaintiff submitted a complete loan modification application or otherwise requested a foreclosure prevention alternative sufficient to trigger Defendants' duty to assign a single point of contact ("SPOC"). Defendants further argue Plaintiff's own allegations indicate any application was incomplete. (Complaint, ¶ 27.) Defendants also argue the cause of action is uncertain because it fails to distinguish between the conduct of Selene, the loan servicer, and U.S. Bank, the beneficiary under the deed of trust.

Plaintiff has not alleged facts sufficient to state a claim under Civil Code section 2923.7. The statute requires a mortgage servicer to establish a single point of contact after a borrower requests a foreclosure prevention alternative. Here, although Plaintiff alleges Defendants failed to assign a SPOC, he does not allege facts showing he requested a foreclosure prevention alternative or otherwise triggered Defendants' obligations under the statute. In fact, Plaintiff alleges Defendants advised him that his loan modification application was incomplete because additional documentation was required. (Complaint, ¶ 27.) On these allegations, Plaintiff has not sufficiently alleged a violation of Civil Code section 2923.7.

Thus, the Court SUSTAINS the

demurrer with 20 days' leave to amend as to this cause of action.

Third Cause of Action: Violation of Civ Code §2924.9

Under Civil Code section 2924.9(a),

“[u]nless a borrower has previously exhausted the first lien loan modification process offered by, or through, his or her mortgage servicer described in Section 2923.6, within five business days after recording a notice of default pursuant to Section 2924, a mortgage servicer that offers one or more foreclosure prevention alternatives shall send a written communication to the borrower that includes all of the following information: (1) That the borrower may be evaluated for a foreclosure prevention alternative or, if applicable, foreclosure prevention alternatives. (2) Whether an application is required to be submitted by the borrower in order to be considered for a foreclosure prevention alternative. (3) The means and process by which a borrower may obtain an application for a foreclosure prevention alternative.” (Civ. Code, § 2924.9(a).) Pursuant to Civil Code section 2923.12(a), after a trustee's deed upon sale has been recorded, a mortgage servicer shall be liable for actual economic damages resulting from a material violation of Civil Code section 2924.9. (Civ. Code, § 2924.12(b).) A party may only bring an action for injunctive relief to enjoin a material violation of Civil Code section 2924.9 if a trustee's deed upon sale has not been recorded. (Civ. Code, § 2924.12(a)(1).) As a material violation for Civil Code section 2924.9 falls under Civil Code section 2924.12, the three-step framework in *Morris* applies here.

Defendants demur to this cause of action, arguing that Plaintiff fails to allege facts sufficient to state a claim under Civil Code section 2924.9. Specifically, the Complaint fails to allege Plaintiff had not previously exhausted the first lien loan modification process, a prerequisite to relief under the statute. Defendants further argue the Complaint does not identify which Defendant was responsible for providing the required notice and therefore fails to state a claim. (Demurrer, p. 9.)

Here, Plaintiff alleges Defendants failed to notify him of available foreclosure prevention alternatives within the statutory period. (Complaint, ¶¶ 30-31.) However, Plaintiff does not allege that he had not previously exhausted the loan modification process or otherwise plead facts showing he was entitled to the notice required under section 2924.9. Without such allegations, Plaintiff has not stated a claim under the

statute.

Thus, the

Court SUSTAINS the demurrer with 20 days' leave to amend as to this cause of action.

Fourth Cause of Action: Unfair Business Practices,
Violation of Business & Professions Code Section 17200

Defendants demur to this cause of action, arguing Plaintiff's claim under Business and Professions Code section 17200 is derivative of the alleged HBOR violations and therefore fails because Plaintiff has not adequately stated an underlying statutory violation. Defendants further argue Plaintiff lacks standing to proceed under the fraudulent prong because the alleged misconduct arose from private communications, not public-facing representations. (Demurrer, pp. 10-11.)

Here, because the Court overrules the demurrer to the first cause of action under Civil Code section 2923.5, Plaintiff has sufficiently alleged an underlying statutory violation to support a claim under the unlawful prong of Business and Professions Code section 17200.

Thus, the Court OVERRULES the demurrer as to this cause of action.

Fifth Cause of Action: Wrongful Foreclosure

To maintain a wrongful foreclosure claim, a plaintiff must allege that "(1) the defendants caused an illegal, fraudulent, or willfully oppressive sale of the property pursuant to a power of sale in a mortgage or deed of trust; (2) the plaintiff suffered prejudice or harm; and (3) the plaintiff tendered the amount of the secured indebtedness or was excused from tending." (Chavez v. Indymac Mortgage Services (2013) 219 Cal.App.4th 1052, 1062.) "Recognized exceptions to the tender rule include when: (1) the underlying debt is void, (2) the foreclosure sale or trustee's deed is void on its face, (3) a counterclaim offsets the amount due, (4) specific circumstances make it inequitable to enforce the debt against the party challenging the sale, or (5) the foreclosure sale has not yet occurred." (Id.)

Here, Defendants demur to this cause of action, arguing Plaintiff fails to allege facts showing the foreclosure was illegal, fraudulent, or willfully oppressive. Defendants contend Plaintiff's wrongful foreclosure claim is based solely on the alleged HBOR violations, which they argue are insufficient to state a claim. Defendants further argue Plaintiff has neither alleged tender nor facts excusing the tender requirement. (Demurrer, pp. 11-12.)

The Court agrees with Defendants.

Plaintiff seeks to set aside the foreclosure sale based on alleged irregularities in the foreclosure process. However, the Complaint does not allege that Plaintiff tendered, or was able and willing to tender, the amount of the secured indebtedness. Nor does Plaintiff allege facts establishing an exception to the tender requirement. As a general rule, a borrower seeking to set aside a completed trustee's sale based on alleged defects in the foreclosure process must allege tender of the full amount of the secured debt. (Multani v. Witkin & Neal (2013) 215 Cal.App.4th 1428, 1447; West v. JPMorgan Chase Bank, N.A. (2013) 214 Cal.App.4th 780, 801.) A plaintiff is not excused from this requirement where the claim challenges only the foreclosure procedures and does not dispute the validity of the underlying debt. (Lona v. Citibank, N.A. (2011) 202 Cal.App.4th 89, 112–113; Shuster v. BAC Home Loans Servicing, LP (2012) 211 Cal.App.4th 505, 512.) Therefore, Plaintiff has failed to state facts sufficient to constitute a cause of action for wrongful foreclosure.

Thus, the Court SUSTAINS the demurrer with 20 days' leave to amend as to this cause of action.

Uncertainty

The Court OVERRULES the demurrer for uncertainty. Any ambiguities or lack of factual detail may be addressed through discovery. The Complaint is sufficiently intelligible to apprise Defendants of the nature of Plaintiff's claims and permit a responsive pleading. Any ambiguities or lack of factual detail may be addressed through discovery. (Khouri v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 616.)

IV. ORDER

The Court

SUSTAINS the demurrer with 20 days leave to amend as to the second, third and fifth causes of action. The Court OVERRULES the demurrer as to the first and fourth causes of action.

Defendant is to give notice.

Dated: July 30, 2026

JARED

D. MOSES

JUDGE OF THE SUPERIOR COURT